POLK COUNTY RURAL PUBLIC POWER DISTRICT
STROMSBURG, NEBRASKA
STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

ASSETS AND DEFERRED OUTFLOWS OF RESOURCES

	2025	2024
UTILITY PLANT	49,709,953	48,310,221
Less accumulated depreciation	(17,560,273)	(16,442,217)
Net capital assets	32,149,680	31,868,004
SPECIAL PURPOSE FUNDS		
Cash and cash equivalents, restricted		
Debt service funds	6,077	7,091
NONCURRENT ASSETS		
FEMA receivable	4,866	89,964
Investments in associated organizations	613,223	594,955
Total noncurrent assets	618,089	684,919
CURRENT ASSETS		
Cash and cash equivalents, unrestricted	5,512,773	3,285,526
Investment pool (NPAIT)	2,066,869	3,645,851
CFC medium-term note	600,000	600,000
Accounts receivable - less allowance for doubtful accounts of $54,526 in 2025, and $49,878 in 2024	937,908	813,056
Unbilled revenues	639,102	617,947
Interest receivable	18,592	22,247
Materials and supplies inventory	1,593,830	1,574,258
Prepaid expenses	112,282	96,297
Total current assets	11,481,356	10,655,182
TOTAL ASSETS	44,255,202	43,215,196
DEFERRED OUTFLOWS OF RESOURCES		
Unamortized bond issue costs	33,923	39,549
Deferred construction plans	4,587	9,174
Total deferred outflows of resources	38,510	48,723
TOTAL ASSETS AND DEFERRED OUTFLOWS OF RESOURCES	44,293,712	43,263,919

The accompanying notes are an integral part of the financial statements.

POLK COUNTY RURAL PUBLIC POWER DISTRICT
STROMSBURG, NEBRASKA
STATEMENTS OF NET POSITION
DECEMBER 31, 2025 AND 2024

NET POSITION, DEFERRED INFLOWS OF RESOURCES, AND LIABILITIES

	2025	2024
NET POSITION		
Invested in capital assets, net of related debt	29,949,680	29,443,004
Restricted	6,077	7,091
Unrestricted	10,345,804	9,253,857
Total net position	40,301,561	38,703,952
NONCURRENT LIABILITIES		
Bonds payable	2,200,000	2,425,000
Less: Current maturities	(225,000)	(225,000)
Post-employment benefits	214,493	210,104
Total noncurrent liabilities	2,189,493	2,410,104
CURRENT LIABILITIES		
Accounts payable	696,603	935,163
Expenses accrued	566,322	604,241
Taxes accrued	221,928	214,218
Consumer deposits	92,805	171,241
Current maturities of long-term debt	225,000	225,000
Total current liabilities	1,802,658	2,149,863
TOTAL NET POSITION, DEFERRED INFLOWS OF RESOURCES, AND LIABILITIES	44,293,712	43,263,919

POLK COUNTY RURAL PUBLIC POWER DISTRICT
STROMSBURG, NEBRASKA
STATEMENTS OF REVENUES, EXPENSES, AND
CHANGES IN NET POSITION
YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
OPERATING REVENUES		
Electric energy sales	13,742,401	13,787,748
Other revenues	38,967	62,992
Total operating revenues	13,781,368	13,850,740
OPERATING EXPENSES		
Cost of power	7,213,826	7,485,307
Transmission	91,841	91,037
Distribution	1,384,273	1,381,305
Consumer accounts	381,069	390,879
Consumer service and informational	120,424	120,895
Administrative and general	608,738	678,736
Outside services	27,943	30,349
Insurance	62,738	58,528
Employee benefits	55,993	36,035
Directors' fees and expenses	76,529	55,797
Dues	83,520	64,186
Miscellaneous	20,147	16,042
Maintenance of distribution plant	778,642	718,788
Maintenance of general plant	19,446	22,016
Amortization	5,626	14,629
Depreciation	1,513,877	1,471,066
Total operating expenses	12,444,632	12,635,595
OPERATING INCOME	1,336,736	1,215,145
INVESTMENT AND OTHER INCOME		
Interest revenue	287,673	329,863
Other income	137,019	126,004
Total investment and other income	424,692	455,867
INCREASE IN NET POSITION BEFORE DEBT AND OTHER EXPENSES	1,761,428	1,671,012

POLK COUNTY RURAL PUBLIC POWER DISTRICT
STROMSBURG, NEBRASKA
STATEMENTS OF REVENUES, EXPENSES, AND
CHANGES IN NET POSITION
YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
DEBT AND OTHER EXPENSES		
Interest expense	43,807	48,034
Other expenses	120,012	52,562
Total debt and other expenses	163,819	100,596
INCREASE IN NET POSITION	1,597,609	1,570,416
NET POSITION, beginning of year	38,703,952	37,133,536
NET POSITION, end of year	40,301,561	38,703,952

The accompanying notes are an integral part of the financial statements.

POLK COUNTY RURAL PUBLIC POWER DISTRICT
STROMSBURG, NEBRASKA
STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from customers	13,649,042	13,935,218
Cash paid for power purchased	(7,233,891)	(7,450,404)
Cash paid for employees	(1,809,399)	(1,633,506)
Cash paid for other expenses	(2,200,982)	(1,569,752)
Net cash provided by operating activities	2,404,770	3,281,556
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES		
Payment on other long-term obligations	(27,229)	(25,444)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES		
Principal payments on long-term debt	(225,000)	(470,000)
Interest payments on long-term debt	(43,929)	(48,212)
Cash payments for plant construction and acquisition (net)	(1,755,927)	(2,075,731)
Net cash used in capital and related financing activities	(2,024,856)	(2,593,943)
CASH FLOWS FROM INVESTING ACTIVITIES		
Cash received (paid) for investments in CDs	(18,268)	(59,860)
Cash received (paid) for investments in investment pool (NPAIT)	1,578,982	(937,580)
Cash received from investments in co-ops	20,492	22,401
Cash received (paid) for investment in debt reserve	1,014	3,027
Interest received	291,328	326,965
Net cash provided by (used in) investing activities	1,873,548	(645,047)
NET INCREASE IN CASH AND CASH EQUIVALENTS	2,226,233	17,122
CASH AND CASH EQUIVALENTS, beginning of year	3,292,617	3,275,495
CASH AND CASH EQUIVALENTS, end of year	5,518,850	3,292,617

POLK COUNTY RURAL PUBLIC POWER DISTRICT
STROMSBURG, NEBRASKA
STATEMENTS OF CASH FLOWS
YEARS ENDED DECEMBER 31, 2025 AND 2024

	2025	2024
CASH AND CASH EQUIVALENTS		
Cash and cash equivalents, unrestricted	5,512,773	3,285,526
Cash and cash equivalents, restricted	6,077	7,091
Total cash and cash equivalents	5,518,850	3,292,617
Reconciliation Of Operating Income To Net Cash Provided By Operating Activities:		
Operating income	1,336,736	1,215,145
Adjustments to reconcile operating income to net cash provided by operating activities:		
Other, net	(21,776)	(8,570)
Depreciation and amortization	1,519,503	1,485,695
(Increase) decrease in accounts receivable	(124,852)	137,249
Increase in prepaid expenses	(15,985)	(6,273)
Decrease in deferred charges and regulatory assets	4,587	22,292
Increase in unbilled revenue	(21,155)	(38,493)
Increase (decrease) in accounts payable	(169,817)	333,840
Decrease in consumer deposits	(78,436)	(52,060)
Increase (decrease) in expenses accrued	(37,919)	205,803
Increase in taxes accrued	7,710	140
Increase (decrease) in other postemployment benefits	6,174	(13,212)
Total adjustments	1,068,034	2,066,411
Net cash provided by operating activities	2,404,770	3,281,556

The accompanying notes are an integral part of the financial statements.